

Determination that Consolidation is Necessary and Justified

This determination is made in accordance with (IAW) Federal Acquisition Regulation (FAR) 7.107-2(a) and 15 U.S.C 657q. This determination details the research and analysis performed in order to ensure that consolidation is appropriate, necessary and justified, and in the best interest of the Government.

A. Requirement

Solicitation number: HS0021535087

Requirement: Oracle Unlimited License Agreement

Estimated Value (including options): [REDACTED], broken out as follows:

Base: [REDACTED]

Option I: [REDACTED]

Option II: [REDACTED]

The Defense Counterintelligence and Security Agency (DCSA) has a continuing need for an Oracle Unlimited License Agreement (ULA), consisting of unlimited deployment rights and Premier-level technical support for both new and existing Oracle license products, as well as the renewal of Oracle subscription products. The Oracle licenses serve as the primary database operating and development software currently in use by DCSA systems.

B. Background

This requirement is for an enterprise-wide Oracle ULA, inclusive of technical support and non-ULA subscription-based products in support of the DCSA mission. Oracle license and subscription products, including Java, My Structured Query Language (MySQL) and Identity Management, among others, are currently used as the database management system (DBMS) for several critical applications in support of DCSA's Program Executive Office (PEO), Office of the Chief Information Officer (OCIO), and the Agency's overall mission of security vetting.

PEO Requirements: The Oracle licenses are required to support the Office of Personnel Management Personnel Investigations Processing System Imaging System (OPIS), New Public Portal (NP2), Electronic Questionnaire for Investigation Processing (e-QIP), Non-Field Work (NFW), Retention of Investigative Data (ROID), Fingerprint Transmission System (FTS), and Database Management and Reporting System (DMRS), all managed within the PEO. These applications are considered to be High Value Assets (HVAs) critical to the mission of background investigations; therefore, their databases must remain online and secure.

OCIO Requirements: OCIO Oracle requirements are relied upon by several Agency mission areas including Industrial Security, Counterintelligence and Insider Threat, and Human Capital Management Office. Without Oracle, a host of critical Agency systems would be negatively impacted such as DCSA Counterintelligence Analytical System (DCIAS), Security Training, Education, and Professionalization Portal (STEPP), and the National Industrial Security System/National Central Access Information Security System (NISS/NCAISS). A break in service supporting the Oracle products covered under this contract would critically impact DCSA's mission and support operations.

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National Background Investigation Services (NBIS) Requirements: Oracle products are required to support the NBIS suite of applications, which makes up the collection of all the Information Technology (IT) systems that support the end-to-end (E2E) process for personnel vetting. NBIS is a discrete set of IT resources organized for the collection, processing, maintenance, use, sharing, dissemination, or disposition of personal vetting (PV) information, including the full lifecycle of processes and procedures that inform and enable the PV process: Initial Vetting, Continuous Vetting (CV), Upgrades, Transfer of Trust, and Re-establishment of Trust. The current NBIS system comprises of a portfolio of twenty-one (21) PV IT systems and applications with multiple sub-systems. Defense Information System for Security (DISS), Mirador and Defense Central Index for Investigations (DCII) are three (3) of those 21 systems.

DISS serves as an enterprise-wide solution for PV, suitability, and credential management for DoD Military, civilian, and contractors. DISS replaced the Joint Personnel Adjudication System (JPAS) as the system of record in 2021. DISS facilitates secure communications between adjudicators, security officers and components. Users can request, record and review security actions for people who already have favorable determination.

Mirador is the IT system that supports the CV mission thread. Mirador maintains real-time and regular periodic connections to designated data sources that align with the adjudicative guidelines to receive pertinent security event information on persons that have an active affiliation and favorable determination with the Federal government.

DCII is an automated central index that identifies investigations conducted by DoD investigative agencies, and personnel security determinations made by DoD adjudicative authorities. DCII access is limited to the Department of Defense and other federal agencies that have adjudicative, investigative and/or counterintelligence missions.

The use of the Oracle suite of DBMS software is essential to the continuity of DCSA's mission requirements for the foreseeable future, based upon the following information:

- Oracle DBMS (commonly referred to as Oracle DBMS, Oracle Autonomous Database, or simply as Oracle) is a proprietary multi-model DBMS produced and marketed by Oracle. It is a commercial off the shelf database used worldwide, most commonly for running online transaction processing (OLTP), data warehousing, and mixed database workloads.
 - Transitioning away from the Oracle DBMS is difficult primarily due to the significant re-development efforts needed to migrate applications built specifically for Oracle's proprietary features onto another software construct. This resource constraint makes switching to a competing DBMS a significantly major undertaking for users. DCSA enterprise systems and applications must continue to leverage the Oracle software because no other database software could support the current configuration of these applications without extensive re-configuration and re-development, which would take an immeasurable amount of effort, time and money. Due to the complexity of the applications, the specificity of the current operational environment, and the expenditures to date for the design, engineering, configuration, authorization, and deployment of the
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applications, it would be cost prohibitive for the Government to re-design, re-engineer, re-configure, re-authorize, and re-deploy the applications with another database. Migrating these applications to another database would also fundamentally change the way each application works, as well as its architecture, dataflows, and more. To migrate these applications from Oracle to another database would require several months just to analyze and re-design the application; several more months to build the application in the new database; and several more months of running the application in parallel in both databases to ensure a smooth transition. This cost in idle time alone (e.g., code freeze during the transition) would make the migration incredibly expensive. In addition, moving Mirador, DISS and DCII to a different database would require substantial additional time and resources to train staff how to operate the applications in a new database due to their highly specialized nature and the difference between the databases, which is not a one-time cost and would be required every time these applications moved to another database. This Agency-level contract consolidation and ULA was approved for immediate implementation by the programs and is designed to save the Agency \$60M+ over the life of the contract when compared to ala carte license purchases at market prices. Based on market research discussions with Oracle and careful analysis of pricing for both the ULA and a la carte licensing, the most cost effective means of procuring the licenses and support required is via the combined approach detailed in Table 2 below.

Current Contract Support: Currently, the above software products and associated technical support are being provided under two separate delivery orders. Table 1, below, provides additional information regarding the procurement history.

Table 1: Procurement History

Delivery Order #	Description	Total Value (incl Options)	Vendor	NAICS	Business Size
HS002122F0037	PEO Oracle ULA		Affigent, LLC	541519	Small
W904TE21P2733 (ARMY TAO IAA)	OCIO Oracle		DLT Solutions, LLC	511210	Other than Small

HS0021-22-F-0037: The previous Oracle ULA award, HS002122F0037, was executed in support of PEO and part of NBIS, and was solicited as a 100% small business set-aside and subsequently awarded to Affigent, LLC via the National Aeronautics and Space Administration's (NASA) Solutions for Enterprise-Wide Procurement (SEWP) V for a 12-month Base and two (2) 12-month option periods. The period of performance for the order, inclusive of options, is May 31, 2022, through May 30, 2025. The scope of this order consists of an Oracle ULA, along with associated technical support and Java SE Desktop Subscription – Named User Plus and MySQL (i.e., non - ULA) subscriptions. Of important note, the ULA is limited to certain PEO and NBIS systems, and is not enterprise-wide.

W904TE-21-P-2733: OCIO currently manages an Interagency Agreement for Oracle licenses and associated technical support awarded by the Army's Technology Applications Office (TAO) under award number W904TE-21-P-2733, which expires on March 31, 2025. This award was issued for a 7-month base and four 12-month option years to DLT

Solutions, LLC, an other than small business. The period of performance for this order, inclusive of options, is August 1, 2021, through March 31, 2026.

Based on this planned consolidation action, DCSA will forego the exercise of option year 4, and align all Oracle requirements within the scope of the Oracle ULA under one contract with an anticipated effective date of April 1, 2025.

The current combined annual values of these two separate Oracle contracts totals [REDACTED]; however, the scope has increased for both requirements after initial award of each. After consolidation, the anticipated value for the base year of the new DCSA enterprise-wide Oracle ULA contract is [REDACTED], which includes the purchase of new license products within the ULA, along with associated support, and non-ULA subscription-based Oracle products. The total anticipated cost over the three year period of performance is [REDACTED]. Tables 2 and 2-1 provide a detailed listing of the required items and estimated cost breakdown by system and product.

Table 2: Required Items

BRAND NAME	DESCRIPTION/ITEM
ORACLE UNLIMITED LICENSE AGREEMENT	Database Enterprise Edition
	Advanced Security
	Diagnostics Pack
	Tuning Pack
	Lifecycle Management Pack
	Partitioning
	Data Masking and Sub - setting
	Real Application Clusters
	WebLogic Server Management Pack Enterprise Edition
	Label Security (new)
	WebLogic Suite (new)
	Database Vault (new)
	Multitenant (new)
	WebCenter Portal (new)
SUPPORT FEES	Premier ULA II Technical Software Updates & License Support
JAVA (ORACLE) SUBSCRIPTION	Java Annual Subscription
	Java SE Desktop Subscription - Named User Plus
ORACLE PRODUCT SUBSCRIPTIONS	MySQL Enterprise Edition Subscription (1 - 4 Socket Server)
	Identity Management

Table 2-1: Cost Breakdown by Program and System

	DBEE	Diag	Tuning	DB LifeCycle	ASO	Part	RAC	Data Masking	WL Suite	WebCenter Portal	MT	DBV	OLS	WL Mgmt Pack	Totals
PSS License															\$0
PSS Support															\$0
PSS Total															\$0
NCAISS License										\$0	\$0				\$0
NCAISS Support										\$0	\$0				\$0
NCAISS Total										\$0	\$0				\$0
DISS License								\$0	\$0			\$0	\$0		\$0
DISS Support								\$0	\$0			\$0	\$0		\$0
DISS Total								\$0	\$0			\$0	\$0		\$0
DCII License				\$0				\$0	\$0			\$0	\$0		\$0
DCII Support				\$0				\$0	\$0			\$0	\$0		\$0
DCII Total				\$0				\$0	\$0			\$0	\$0		\$0
MIRADOR License				\$0	\$0			\$0	\$0	\$0		\$0	\$0		\$0
MIRADOR Support				\$0	\$0			\$0	\$0	\$0		\$0	\$0		\$0
MIRADOR Total				\$0	\$0			\$0	\$0	\$0		\$0	\$0		\$0
Total License															
Total Support															
Total															
UPDATED Number of Processors	463	472	505	349	360	505	333	341	394	60	254	341	227	208	
Processors by Program															
PSS	149	149	149	127	149	149	149	149	36	60	254	149	35		
NCAISS	150	159	192	176	159	192	184	192	150			192	192		
DISS	46	46	46	46	46	46			200					200	
DCII	6	6	6		6	6			8					8	
MIRADOR	112	112	112			112									

C. Market Research - FAR 7.107-2(a)(1)

Market research indicates that DCSA's Oracle requirements are commercially available and may be procured via small business resellers on two contract vehicles readily available to DCSA: GSA Federal Supply Service (FSS) Schedule 70 and the National Aeronautics and Space Administration (NASA) Solutions for Enterprise-Wide Procurement (SEWP) Government Wide Acquisition Contract (GWAC).

NASA SEWP V offers two other-than-small business, and two small business (SB) Oracle approved resellers, which are the same two SB Oracle approved resellers on GSA FSS Schedule 70. One of the two SBs, Affigent, is the incumbent vendor for the Oracle DBMS ULA contract currently in place for PEO, referenced above. Both available SB resellers have expressed interest via informal engagement in competing for this requirement should a solicitation be provided and Emergent, one of the two available SB resellers, provided an un-solicited market research estimate for the renewal of the Java portion (See OCF at A18).

A review of other possible procurement vehicles including the DoD ESI Blanket Purchase Agreement (BPA) and Army Computer Hardware Enterprise Software Solutions (CHESS) yielded unsuccessful results. While Oracle products are available, the current BPAs are restricted for use by the services they were issued for (i.e. Army, Navy, Air Force). DoD is currently in the process of establishing a DoD-wide ESI BPA which is unavailable at this time but is anticipated to be available for use on a future procurement. The Contracting Officer confirmed with the Procuring Contracting Officer for the planned DoD-wide ESI BPA that the vehicle will not be awarded and available in time to meet the required March 2025 award timeframe for this requirement.



Alternative Contracting Approaches - FAR 7.107-2(a)(2)

Alternate contracting approaches include the following:

1. Maintain separate contracts for PEO and OCIO for the same requirement
2. Exercise Option Year 4 under Army Contract #W904TE-21-P-2733 to split the requirement and make multiple awards

As stated above, the previous contracts were awarded separately due to emerging program needs. After careful analysis, the scope of both contracts aligns, and at this time, it is more efficient and cost effective to consolidate under a single contract. Without the consolidation, the Government will encounter additional risk as it relates to duplication of effort to include schedule risks, procurement lead times, and overarching scope creep between both contracts. The need to separate the actions is no longer necessary and is not advantageous to the Government. More specifically, to split the requirement and make multiple awards has high schedule risks as this would at least double acquisition documentation and reviews and require duplicate pre- and post-award administration for all stakeholders.

There are no known benefits to splitting the requirement as it currently is set up. There would be two awards, one currently being performed by an other than small business, the other by a small business, and the inefficiencies and duplicative efforts make this option less desirable than consolidation.

D. Negative Impact on Small Business - FAR 7.107-2(a)(4)

There are no anticipated negative impacts on small businesses as a result of this effort. The previous DCSA-internal procurement, HS0021-22-F-0037, was solicited as a 100% SB set-aside on NASA SEWP. The proposed procurement would be set-aside for small businesses who are authorized resellers of Oracle branded products on NASA SEWP.

E. Small Business Inclusion in Procurement - FAR 7.107-2(a)(5)

During market research, the Agency's priority has been to seek out capable small businesses who may be able to provide the required products. Both available small business resellers have expressed interest in competing for this requirement should a solicitation be provided. Currently, 78% of the total requirement is being provided by small business reseller, Affigent. This consolidation effort aims to award 100% of the requirement to a capable small business. NASA SEWP was found to be the most viable option for fulfilling the Agency's needs in terms of small business reseller availability, product availability and ease of use/reduced administrative burden (FAR Part 16 procedures).

F. Benefits of Consolidation - FAR 7.107-2(b) and (c)

The below information has been provided in support of consolidation. More specifically, the information supports that consolidation is necessary and justified and demonstrates that the benefits of the acquisition would substantially exceed the benefits that would be derived from the alternative contracting approaches as identified in Section C above.



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☒ *Quality improvements that will save time or improve or enhance performance or efficiency - FAR 7.107- 2(c)(1)*

Consolidation saves time and improves Agency efficiency by limiting duplication of efforts by including similar requirements under the same programmatic umbrella where possible. By consolidating the DCSA Oracle requirement, the Agency will ensure standardized terms and conditions, improve operational efficiency through cost and risk management, and standardize continuous performance. A single contract will align quality expectations and compliance, reduce administrative overhead, streamline reporting and workflows, improve utilization through better allocation and tracking, and establish a centralized Agency level review process for quality assurance. A single contracting vehicle, managed at the Agency level, will create a more agile response to the rapidly changing Information Technology environment. This will ensure a central point for organizational learning, information sharing and the development of Agency wide standards that may be replicated at an unmatched pace when compared to maintaining silos of disparate systems and points of contact within the organization. These quality improvements are largely unquantifiable, beyond the logical determination that the benefit of consolidation in this regard is greater than zero dollars, and so this benefit is provided only to improve the comprehensiveness of the determination rationale.

☒ *Reduction in acquisition cycle times - FAR 7.107-2(c)(2)*

The acquisition cycle time is significantly reduced through consolidation. The proposed consolidated requirement is the same or very similar to the existing technical requirements under the predecessor actions. Procuring licenses and support to cover this requirement using an unconsolidated approach would require duplicative procurement activities, resulting in twice the administrative effort; the effects of which could not be sufficiently mitigated through the additional competition of procuring separate contracts. The resultant reduction in acquisition cycle times is also difficult to accurately quantify without a significant assessment of Government personnel and average time requirements for drafting, reviewing, and securing approval for all documents and system entries required for a successful acquisition. The Procurement Administrative Lead Time (PALT) for the consolidation effort is 120 days. If we were to exercise the remaining option period for the OCIO IAA contract, the PALT is 75 days, while the PALT to execute a new separate contract just to renew the PEO ULA would be 120 days, resulting in a total PALT of 195 days. Furthermore, the OCIO licenses would require a renewal contract next year, which would carry a PALT of 120 days. In summary, the consolidation is estimated to reduce the total PALT by roughly 38%. Procuring the current requirements under two separate contracts would be a significant administrative burden, conflict with the Clinger Cohen Act's directive to streamline the IT procurement process, and is a gross misuse of Agency resources and taxpayer funds, the effects of which could not be recovered through additional competition. This information is provided only to improve the comprehensiveness of the determination rationale.

☒ *Better terms and conditions - FAR 7.107-2(c)(3)*

A single new award eliminates the potential for inconsistencies or conflicts in the terms, conditions, and requirements descriptions, which may occur across multiple efforts. In addition, a combined management approach will ensure consistency in the support required to meet the defined requirements. A single contract will assist the Government in ensuring

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compliance with a single set of terms and conditions rather than with two separate contract awards. Additional realized benefits of consolidation and execution of an enterprise ULA include:

1. No cap on deploying licenses in 3rd party cloud environment and the enterprise ULA includes 0% annual support cap vs. standard 8% support cap.
2. Allows DCSA unlimited deployment of the 14 identified products enterprise-wide for the duration of the ULA term, allowing for agility and unrestricted future growth over the next 3 years by eliminating the need to purchase additional software as Agency mission needs evolve. The existing PEO ULA specifically restricts deployment of licenses to only PEO and select NBIS systems.
3. Establishes a Technology Product Discount Hold for all non-ULA technology products.

☒ *Other benefit(s) - FAR 7.107-2(c)(4):*

In addition to the benefits listed above, a single award solution will provide for a single team including the Contracting Officer (KO), Contract Specialist (CS), Contracting Officer's Representative, and Technical Point of Contact (TPOC). The Government expects this will significantly lessen any required learning curve associated with new or different persons issuing individual contracts. With a single KO, CS and TPOC, the Government expects streamlined and consistent contract administration as well as a single contract file to review during the performance of the contract.

These requirements were never intended to be awarded separately, but only as a temporary solution due to the emerging Agency requirements. Soliciting and awarding separate contracts creates inefficiencies for both the Government and the contractor. Beyond the reduction in time saved for appointing two COR's and TPOC's and managing two separate contracts for similar work, not bringing this work in-house for the DCSA Contracting and Procurement Office (CPO) to procure and administer continues to cost the Agency in fees paid for assisted acquisitions. The Army Technology Applications Office charged a fee of 2% of the contract value in July 2021 when the OCIO Oracle contract was issued.

The benefits of consolidating these contracts substantially exceeds the benefits from keeping them as separate contracts.

G. Basis for Consolidation Determination:

This determination that consolidation is necessary and justified is based on:

- ☐ Financial benefits of consolidation – FAR 7.107-2(d)
- ☒ Mission criticality – FAR 7.107-2(e)

Benefits of this consolidation are not quantifiable in dollar amounts (FAR 7.107- 2(d)(2)). Consolidation of the Oracle license products and support into one contract will allow for central management of all Oracle licenses, enabling cost, risk and technical surveillance management and standardization. Specifically, a single contract will align quality expectations and compliance, and establish enterprise-level oversight of existing license utilization and support.

Furthermore, a single contracting vehicle, managed at the enterprise level, will create a more agile response to the rapidly changing Information Technology environment and will ensure a central point for organizational monitoring and awareness, information sharing, and the development of Agency-wide standards that may be replicated at an unmatched pace when compared to maintaining silos of disparate systems and points of contact within the organization.

While the financial benefits to the Government are not quantifiable due to program growth, emerging requirements for the Oracle licenses, and complexities of the ULA, this consolidation effort and enterprise level contract is designed to save the Agency an estimated \$60M over the life of the contract when compared to a la carte license purchases at current market prices. In market research discussions with Oracle and through careful analysis of pricing for both the ULA and a la carte licensing, the most cost effective means of procuring the licenses and support required is via the enterprise ULA approach. Specifically, market research findings resulted in a 66% savings, with a la carte licenses and maintenance pricing estimated at roughly \$101M, compared to the ULA II estimated price of [REDACTED]. Furthermore, given that the PEO ULA is set to expire this year and requires renewal and expansion anyway, it's likely the renewal would cost roughly the same as the ULA II enterprise estimate of [REDACTED] even without enterprise requirements included, given that PEO and NBIS systems make up the bulk of the Agency Oracle license requirements and the licenses and support align across the enterprise. With this in mind, if DCSA were to renew the PEO ULA while maintaining the status quo and exercising the OCIO IAA option, DCSA would likely pay duplicate costs for the Oracle support. The OCIO IAA total contract value is [REDACTED] with last option period priced at [REDACTED]. If DCSA were to exercise the last option and then execute a new separate contract, DCSA would pay roughly [REDACTED]M (option exercise plus a new Oracle contract for OCIO) in duplicative costs.

H. Financial Benefits of Consolidation - FAR 7.107-2(d)

FAR 7.107-2(d)(2) states the following:

(2) Benefits that are not quantifiable in dollar amounts shall be specifically identified and otherwise quantified to the extent feasible.

The specific benefits for this consolidation have been fully outlined in the above sections.

I. Mission criticality - FAR 7.107-2(e)

The proposed consolidation for a new Oracle enterprise ULA takes into consideration DCSA's mission and strategic goals, as well as the 258% increase in license deployment over the last three years under the existing PEO ULA. ULA II is intended to create a new agreement that focuses on efficiency, modernization and predictability of utilization moving forward. Critical features of the enterprise ULA consolidation contributing to overall mission success include: ULA II will cover existing and forecasted license requirements and deployment to build in agility for enterprise license needs; ULA II removes PEO/NBIS limitations and exclusion while opening deployment and expansion of license products to the DCSA Enterprise; eliminates cap on deploying licenses in 3rd Party Cloud environments; grants DCSA the ability to deploy Oracle technology in a more efficient manner through the granting of Soft Partitioning; and, establishes a 0% annual support cap versus standard 8% annual compounding support increase.

DCSA must continue to sustain the operations of its enterprise systems and applications, as they are critical components in supporting the Agency mission of providing the processes and IT

[REDACTED]

necessary to complete background investigations across the Federal Government. Oracle is used to support thousands of users on multiple applications and systems within the DCSA environment. Several critical systems would be significantly impacted without Oracle licenses and the associated support and upgrades, and without procurement of the required Oracle products, these systems would fail and ultimately halt Agency mission operations. Furthermore, consolidation and conversion of all existing enterprise Oracle products into the ULA II ensures mission success through streamlined acquisition processes, centralized software management, and more agility due to evolving Agency functions and needs.

Determination:

Based on the above facts, I determine that in accordance with FAR 7.107-2

1. The necessary steps have been taken to support the need for consolidation.
2. The benefits of the acquisition substantially exceed the benefits derived from alternative approaches;
3. This determination has been coordinated with the Agency's Office of Small Business Programs; and
4. Consolidation for the above referenced requirement is necessary and justified.

[REDACTED] Digitally signed by [REDACTED]

Date: 2025.03.05 08:22:31 -05'00'

[REDACTED]
Contracting Officer

Concurrence:

[REDACTED] Digitally signed by GRENshaw

Date: 2025.03.05 09:29:50 -05'00'

[REDACTED]
Office of Small Business Programs

[REDACTED] Digitally signed by [REDACTED]

Date: 2025.03.05 13:52:25 -05'00'

[REDACTED]
Head of the Contracting Activity

Approval:

[REDACTED] Digitally signed by [REDACTED]

Date: 2025.03.05 13:46:50 -05'00'

[REDACTED]
Senior Procurement Executive

[REDACTED]